



School Catering Procurement Guide

Foreword



As a school, you are responsible for spending public money in a responsible way. You are encouraged to ensure best value at every opportunity, not only for yourself as an institution, but for the pupils and staff that spend the majority of their time there. Yet, its a daunting to select and appoint a new catering provider. We hope this guide de-mystifies the process and you will find our Tender Templates a helpful tool to finding the ideal caterer for your school.

WHO WE ARE

We are the third generation artisan caterers, sons of Dan Curtis who founded Dolce. As a family company we see our school partners, pupils and parents as extended members of the family. We share your values and believe in inclusion, the responsibility to look after one another, and to treat everyone with respect.

We understand our customers and have provided guidance and advice for many schools who have had to launch a procurement exercise. The information in this document is impartial and has been drawn from many sources such as the Department for Education and the Cabinet Office and can be viewed online. We encourage you to seek independent legal advice before committing to any high-value spend.

Dolce Education Catering



Before we begin...

Whether you are a public procurement specialist, or an absolute newbie to the process, it won't take you long to realise that this world is littered with jargon, acronyms and confusing terminology. So, we have created a glossary of some of the most common things you may stumble across.

GLOSSARY

ITT - INVITATION TO TENDER / **RFT** - REQUEST FOR TENDER

RFQ - REQUEST FOR QUOTE

PQQ - PRE-QUALIFICATION QUESTIONNAIRE / **SQ** - SELECTION QUESTIONNAIRE

LTR - LIGHT-TOUCH REGIME

FTS - FIND A TENDER SERVICE

PIN - PRIOR INFORMATION NOTICES

EOI - EXPRESSION OF INTEREST

PCR - PUBLIC CONTRACT REGULATIONS

PPN - PROCUREMENT POLICY NOTE ACTION

DPS - DYNAMIC PURCHASING SYSTEM

DFE - DEPARTMENT FOR EDUCATION

TUPE - TRANSFER OF UNDERTAKINGS (PROTECTION OF EMPLOYMENT)

LGPS - LOCAL GOVERNMENT PENSION SCHEME

OJEU - THE OFFICIAL JOURNAL OF THE EUROPEAN UNION

TED - TENDERS ELECTRONIC DAILY

WTO - WORLD TRADE ORGANISATION

GPA - WORLD TRADE ORGANISATION'S GOVERNMENT PROCUREMENT AGREEMENT

A BEST VALUE QUOTATION / RFQ

A BUYER HAS TO GO DIRECT TO SUPPLIERS REQUESTING A QUOTE (RFQ). WHEN BELOW THE LTR THRESHOLD, A SCHOOL IS ONLY REQUIRED TO SEEK 3 QUOTES BEFORE APPOINTING A SUPPLIER.

A BID, TENDER, ITT / RFT

A RESPONSE TO A TENDER SPECIFICATION (ITT), WHICH IS USED TO FIND OUT THE BEST VALUE FOR MONEY, FROM THE PROSPECTIVE SUPPLIERS. A TENDER RESPONSE SETS OUT BOTH PRICE AND QUALITY OFFER. FOR HIGHER VALUE SERVICES A COMPLETE TENDER IS MANDATORY.

A PROCUREMENT FRAMEWORK / FRAMEWORK AGREEMENT / DPS

A CONTRACTUAL AGREEMENT WITH SET TERMS FOR A PERIOD IN ADVANCE. THE FRAMEWORK PROVIDER RUNS A PROCESS TO PRE-SELECT SUPPLIERS BASED ON A PRICE AND QUALITY EVALUATION. A DYNAMIC PURCHASING SYSTEMS (DPS) IS A FRAMEWORK WITH THE ADDED FLEXIBILITY OF BEING ABLE TO ADD SUPPLIERS AT ANY TIME.

A FURTHER COMPETITION / MINI-COMPETITION

A PROCESS FOR SUPPLIERS ON A FRAMEWORK TO PRODUCE A COMPLIANT TENDER. RESPONSE TO MEET A SCHOOLS SPECIFICATION.

CALL-OFF CONTRACT

AN INDIVIDUAL CONTRACT THAT FALLS UNDER A FRAMEWORK AGREEMENT.

Existing

CATERING SUPPLIER

The first thing you will want to do is to look at your existing catering supplier. The chances are you have already made a decision if you wish to make a change, but you also may want to consider running an exercise to ensure you are receiving the best value both financially and in terms of the quality of service you receive. Until you see what the market has to offer you don't really know what benefits you can achieve for your school.

WHY CHANGE?

- **Value for money** - The key here is 'value', ensuring that whatever your budget, you are maximising the benefits for your school.
- **Food & service quality** - a caterer who is passionate about healthy, nutritious home-cooked food, with well trained staff that work well with your school teams and are friendly to the children.
- **Innovation** - best in market solutions, food trends, nutritionally balanced menus, allergen management, marketing and food education, cashless payment, sustainable agendas,
- **Resources & expertise** - experienced operators, customer care teams, relief/cover staff, specialists across a range of areas such as food development, procurement, HR, Pensions, marketing, H&S and IT.
- **Staff development** - ability to help your kitchen team develop their skills, improve their motivation levels and reengage their love of being in the kitchen and serving your children.
- **Cultural Fit** - a caterer who is an extension of your school teams, who understanding your values and strives to enhance the school day through providing a great catering service.

THINGS TO CONSIDER

- A full procurement process for catering services can take 6-9 months
- The notice period your existing catering provider needs for contract termination.
- Whether TUPE and LGPS will apply, especially if you're looking to outsource, or come away from your local authority for the first time.
- Your local authorities procurement regulations.
- You should also gather information such as free school meal numbers and school meal uptake.
- If you decide to go to market, you should inform your catering team.
- The DfE recommend getting legal advice before any high-value spend.



Pathways TO PURCHASE

Since the culmination of the Brexit transition stage the UK procurement process is no longer required to follow EU requirements and thus the process has changed. There are a few different routes to take in how you can identify and appoint a catering provider. This is firstly dictated by the value of your service. The end result whichever option is taken is to ultimately receive a range of caterers providing their best value offer.

BENEFITS OF A ONE YEAR CONTRACT (WITH A TERMS NOTICE THEREAFTER)

- Can ensure most contracts are under the LTR threshold for a simpler, cheaper procurement process.
- Ensures a supplier remains motivated and provides the service promised
- Can test the market at any point in their discretion
- Can attract capital investment from caterers.

LIGHT-TOUCH REGIME (LTR) THRESHOLDS

Certain services, such as school catering are part of the Governments LTR which has a threshold of **£663,540**.

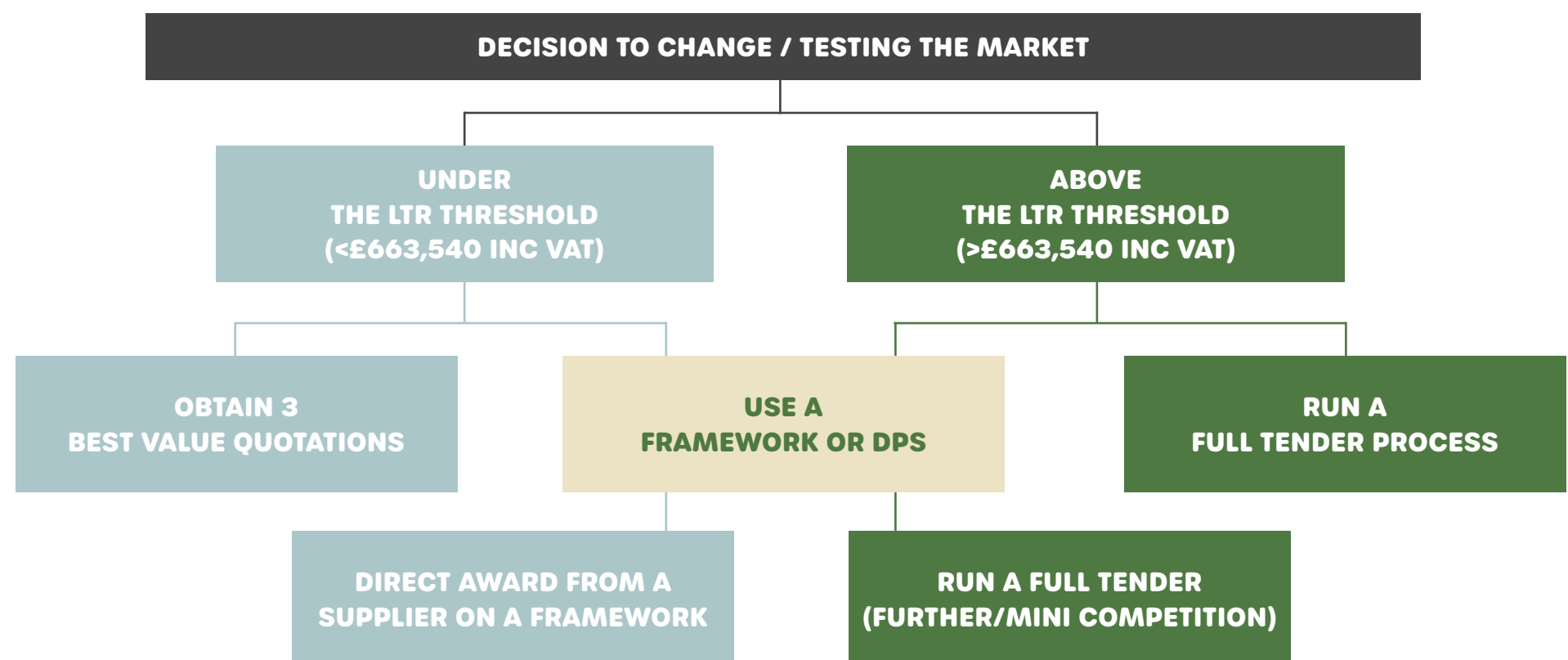
For more detail on the LTR thresholds please see the following [Procurement Policy Note Action Note \(PPN\)](#)

CALCULATING THE ESTIMATED CONTRACT VALUE

The contracting authority needs to ensure that VAT is added to the contract value before considering if it would fall above the procurement threshold. The PPN states that the default for calculating VAT for this purpose is to add the standard rate of VAT (currently 20%) to the contract estimation net amount.

The equation to figure out the whole contract value is as follows:

$$\text{Monthly Recurring Spend} \times \text{Contract term Length} = \text{Whole Contract Value}$$



OBTAINING 3 Best-Value Quotes

If your services are below the LTR threshold, you can avoid publishing for a full tender exercise, or using frameworks - instead you can simply obtain three best-value quotations.

WHY RUN A QUOTATION EXERCISE

- **Ease** - Obtaining three quotes is much simpler than registering a contract notification, writing a detailed tender specification, publishing an ITT on the government portal, responding to suppliers clarifications, evaluating detailed bid responses, holding supplier presentations and legally concluding a tender process.
- **Cost** - Running a tender process (through a consultancy, or by using a framework), has a higher cost and resource requirement than a quotation exercise.
- **Clarity** - You can focus on the value you will receive and easily discuss this with suppliers without the protocols necessary through a tender or framework.
- **Flexibility** - Obtaining three quotes is a minimum requirement, should you have more suppliers you would like to hear from you can easily expand the market.



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TENDER TEMPLATE DOCUMENT**



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WHAT SUPPLIERS TO APPROACH

GEOGRAPHY

- There are regional and national specialist school catering contractors. Regional contractors would generally serve an area the size of the south east of England or the Midlands.

SIZE

- In general, when choosing a contractor based on size there can be an expectation that The larger contractors provide the greatest depth of resource and range of support services, while the smaller contractors feature the highest commitment to a tailored service.
- Therefore a med-sized company will give you the best of both worlds. For example, they will have resources and internal specialists to benefit your school, such as a marketing, customer care and food development department. Yet also the local area managers who have time to dedicate to your school and your kitchen team.



GOING OUT TO *Tender*

Should the thresholds dictate that you must go to tender, here is some help and guidance. The key difference between a Best-Value Quotation and a Full Tender is that you must publish the tender on the Government Portal (FTS), inviting suppliers to tender. With a quote you can approach as many or as few as three suppliers.

PRICING MODELS

The two main pricing models used are listed below:

- **Cost Plus:** The caterer re-charges the school for all site-level catering costs, such as labour, food and sundry costs. The caterer then charges an additional fee for managing the contract. The school keeps all the school meal income and makes a profit or loss after all these costs are covered. Within this model, the school has more control and involvement in the service, and the caterer is required to produce a P&L and update termly on the performance of the service.
- **Fixed Price:** The caterer will cost the service on a meal price. This may generate a return for the school or require a subsidy. If costs cannot all be covered within a chargeable meal price, the school can provide an upper limit for the paid meal price if they are concerned about affordability for parents.

	DESCRIPTION	COST	MARKET SHARE OF SUPPLIERS
RUNNING YOUR OWN TENDER	Running a tender yourself isn't daunting. We can provide you a simple Invitation to Tender template that you can use. Following the simple best-practice process above is all that is required for you to run a compliant, free, full-market tender process.	• Completely free!	• Open access to the full market of suppliers.
USING A FRAMEWORK OR DPS	A procurement framework is an agreement put in place with a provider, or range of providers, that enables buyers to carry out a Further Competition and in some cases a Direct Award, without running a full tender exercise. A DPS is a framework with the ability to add suppliers at any time. The DFE have approved Frameworks such as: ESPO - Catering Service	• Frameworks charge the successful supplier a fee instead of charging the school directly. It is incumbent upon the supplier to incorporate this expense into their pricing for the school. • Usually, their charges will vary between 0.5% to 5% of the contract turnover, which is contingent on the contract's size. This expense is applicable for the entire duration of the contract and will be built into the school's costs throughout the contract's lifespan.	• Suppliers pre-qualify to be on a framework. • Therefore, a school can only select from those suppliers on the framework.
USING A CONSULTANCY	A consultancy is a business that will run the tender process on behalf of a school. They will provide an ITT document and invite suppliers to tender. They may provide advice and/or evaluate the responses, recommending a supplier to the school.	• Most consultants charge the winning supplier a fee rather than directly to the client. The supplier must account for this cost in their price to the school. • Some consultancies require the supplier not to disclose this fee within their price to the school. Always obligate the consultant to provide full transparency on all procurement charges. • Typically, their costs will range from 2% to 10% of contract turnover, depending on the size of contract. Consultants may make this a per annum fee.	• Suppliers may choose to avoid certain consultants. Factors such as consultancy fees, their history of awarding contracts to certain suppliers or difficult tender documentation are some examples. • Consultants can be less impartial given their personal and professional history.

Publishing

A FULL TENDER

(OVER THE £663,540 THRESHOLD)

Following Brexit the rule for how to publish tenders has changed.

PUBLISHING A TENDER

- The Official Journal of the European Union (OJEU) is no longer used following Brexit and the culmination of the transition period.
- A compliant tender process must be run electronically (paper-only tenders are no longer valid).
- You must publish a prior information notice (PIN) through Contracts Finder and FTS.
<https://www.gov.uk/contracts-finder>
- Find a Tender Service (FTS) replaces the role of Tenders Electronic Daily (TED), the Official Journal of the EU (OJEU/TED) for procurements in the UK. FTS must be used to publish a tender.
<https://www.find-tender.service.gov.uk>
- Requirements to publish on other services are unchanged, and you can find information online for contracts on:
 - Contracts Finder for England and other non-devolved parts of the UK
 - Public Contracts Scotland for Scotland
 - Sell2Wales for Wales
 - eSourcing NI and eTendersNI for Northern Ireland

BEST PRACTICE TENDER PROCESS

1. Assess the market
2. Prepare your contract and tender documents
3. Publish a prior information notice (PIN) through Contracts Finder and FTS
4. Consider using an expression of interest (EOI) to reduce the suppliers
5. Send an invitation to tender (ITT) to suppliers who reply to your advert
6. Have a 'clarification stage' – a time when suppliers can ask questions
7. Fairly assess all the bids you get, using the same process
8. (Optionally) invite you're shortlisted 2/3 to present
9. Award the contract to the highest scoring bidder
10. Notify the unsuccessful bidders



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THE DOLCE DIFFERENCE



We create home-cooked nutritious food from raw ingredients



Rejuvenated kitchen teams through effective management and training



Delivered through unrivalled service speeds



Bringing customers modern, vibrant dining spaces



Honest, principled & caring family run company (not run by shareholders)



Marketing leading till & payment technology



Dedicated Customer Care department



Supporting local producers



Zero food waste



Reduction in dinner-related admin of 1.5 hours per day



Zero lunch time admin



Average increased uptake of 16% in the first year